

1.2 Types of Valuation

Two kinds of Valuation

P/E, P/B, EV/EBITDA and other ratios are used

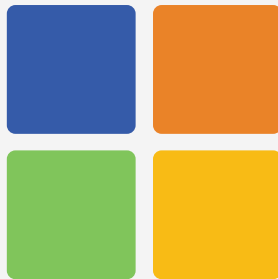


Relative Valuation

Valuation method which uses ratios and compares with its own past or with direct competitions.

Here the analyst does not try to estimate the exact value of the asset. Just analyses, whether they are comfortable buying or not.

Discounted cash flow method is used



Absolute Valuation

Valuation is done by estimating the current value of all profits and cash the company will generate in the future.

Comparison is not done by the analyst. An exact value of the company is estimated by the analyst.

Let's look at an example of how, in relative valuation, we don't need an absolute number, but by comparison we decide if a share is correctly priced.



TATA motors was trading at a price to earnings of 10 in 2021 and in 2022 at 16. So we can say that it is more expensive than what it was. This is what we mean by relative valuation.